

MEMORANDUM

TO: Vice President of Customer Success & Executive Leadership
FROM: Business Analysis & Customer Retention Team
DATE: July 25, 2026
SUBJECT: Customer Churn Analysis & Revenue Protection Strategy

EXECUTIVE SUMMARY

Subscription revenue leakage currently poses a significant risk to recurring revenue. Across our active customer base of **7,043 accounts**, our overall churn rate stands at **26.54%** (1,869 lost customers), representing **\$139,130.85 in Monthly Recurring Revenue (MRR) at risk**, or **\$1,669,570.20 in Annualized Recurring Revenue (ARR)**.

Our empirical churn analysis reveals that revenue loss is heavily concentrated within three specific operational segments. By executing a targeted retention program focused on our highest-risk segment (Month-to-Month contract customers):

Reducing Month-to-Month customer churn by just 10% will protect \$136,058.94 in Annualized Recurring Revenue (ARR) across 166 retained customer accounts.

TOP 3 BUSINESS CHURN DRIVERS

Statistical driver evaluation (Chi-Square test of independence and Cramér's V association ranking) identifies three primary root causes driving customer attrition:

Customer Attribute	Churn Rate (%)	Baseline MRR Risk	Association Strength
1. Month-to-Month Contracts	42.71%	\$113,382.45 / mo	Very Strong (\$V = 0.41\$)
2. Electronic Check Payment	45.29%	\$79,271.65 / mo	Strong (\$V = 0.30\$)
3. Fiber Optic Internet Service	41.89%	\$107,762.60 / mo	Strong (\$V = 0.32\$)

1. Contract Commitment Gap (Month-to-Month Contracts)

- The Data:** Customers on Month-to-month contracts experience a **42.71% churn rate**, compared to **11.27%** for 1-year contracts and **2.83%** for 2-year contracts.
- Business Reality:** Month-to-month customers exhibit a **15.1x higher churn multiplier** relative to 2-year contract holders. This single cohort accounts for **88.5% of total churned customers** (1,655 out of 1,869 lost accounts) and **\$1.36M in annual revenue at risk**.

2. Payment Channel Friction (Electronic Check Users)

- The Data:** Customers paying via Electronic Check churn at **45.29%**, compared to **15.24%–16.71%** for automated payment options (Credit Card / Bank Transfer).
- Business Reality:** Manual payment channels suffer from **3.0x higher churn** than automated billing. Electronic check payments create monthly transaction friction, exposing customers to recurring cancellation decisions.

3. Fiber Optic Product & Price Disconnect

- The Data:** Fiber Optic subscribers churn at **41.89%** (vs. 18.96% for DSL), despite paying premium monthly rates (\$80–\$110/month).

- **Business Reality:** Fiber Optic accounts represent **\$1.29M in annual revenue at risk**. High monthly bills combined with low adoption of retention add-on services (OnlineSecurity, TechSupport) lead to early dissatisfaction during the first 12 months of tenure.

RECOMMENDED RETENTION ACTIONS

To capture the **\$136K+ annual revenue protection opportunity**, we recommend three immediate operational initiatives tied directly to these drivers:

Recommended Initiative	Target Cohort	Projected Annualized Impact
1. Contract Migration Incentive	Month-to-Month (0–12 Mos Tenure)	Protects \$136,058.94 ARR
2. Autopay Conversion Credit	Electronic Check Users	Retains ~200 accounts (\$165K ARR)
3. Fiber Optic Service Bundle	New Fiber Optic Onboardings	Reduces early churn by 15–20%

Action 1: First-Year Contract Migration Campaign

- **Execution:** Launch an automated targeted campaign offering a **\$10/month bill discount** for Month-to-month customers in their first 12 months who commit to a 12-month or 24-month agreement.
- **Expected Impact:** Achieving a 10% conversion rate converts 166 high-risk accounts into stable multi-year agreements, securing **\$136,058.94 in ARR**.

Action 2: Autopay Conversion (\$10 One-Time Bill Credit)

- **Execution:** Offer a **one-time \$10 statement credit** to Electronic Check users who enroll in recurring Credit Card or Bank Transfer Auto-Pay.
- **Expected Impact:** Shifting customers from manual to automated payments reduces friction and historical churn rates by over 60% (from 45.3% down to ~16%).

Action 3: Complimentary Fiber Optic Care Bundle

- **Execution:** Automatically bundle **6 months of free TechSupport & OnlineSecurity** with all new Fiber Optic activations.
- **Expected Impact:** Increasing initial service value perception and technical assistance during onboarding directly targets the root cause of early-tenure Fiber Optic cancellations.

WHAT-IF FINANCIAL RETENTION MODEL

The table below illustrates the projected annual revenue saved across varying retention target scenarios for Month-to-Month customers:

Churn Reduction Target	Effective Churn Rate	Retained Accounts	Annualized Revenue Saved
5.0% Reduction	40.57%	83 accounts	\$68,029.47 / year
10.0% Reduction (Target)	38.44%	166 accounts	\$136,058.94 / year
15.0% Reduction	36.30%	248 accounts	\$204,088.41 / year
20.0% Reduction	34.17%	331 accounts	\$272,117.88 / year
25.0% Reduction	32.03%	414 accounts	\$340,147.35 / year

NEXT STEPS & IMPLEMENTATION TIMELINE

- 1. Week 1–2 (Cross-Functional Alignment):** Align Customer Success, Billing, and Marketing teams on campaign terms and discount codes.
- 2. Week 3–4 (Automated Outreach):** Deploy email and in-app prompts for Autopay conversion and Contract Migration.
- 3. Month 2–3 (Performance Tracking):** Track campaign conversion rates and monthly retained ARR via the Power BI Dashboard ([churn_dashboard.pbix](#)).